

The Hallucination Problem

AI sometimes invents facts with total confidence, and that can cost you dearly.

The Strangest Flaw

Hallucination is AI's strangest and most dangerous flaw. Because the technology is a massive prediction engine built to generate plausible-sounding text, it literally does not know what it does not know. When it hits a gap in its knowledge, it sometimes makes things up with absolute, unwavering confidence rather than admitting ignorance.

The Lawyer's Story

In May 2023, attorney Steven Schwartz, with thirty years of experience, used AI for legal research on a personal injury case. It returned six cases with detailed names, dates, citations, and rulings, and even confirmed they were real when asked. None of the six cases existed. The AI had invented them all, and the attorneys were fined thousands of dollars in a national embarrassment.

How To Use It

Build three unbreakable habits. First, always verify any specific fact, number, or citation against a real external source. Second, explicitly ask the AI where it is least confident so you know what to double-check. Third, treat every piece of output as a rough draft, not a final verdict.

Remember this

AI can invent facts that look perfectly real, so verify everything and treat output as a draft.